

SELLAS Life Sciences (NASDAQ: SLS)

Pivotal-Catalyst Diligence Memo — REGAL Phase 3 / galinpepimut-S (GPS) in AML CR2 maintenance
Signal OS · public_biotech vertical · analysis dated 2026-06-02 · spot \$9.01 · honesty cutoff = live (forward, unread) ·
not investment advice

Verdict

Honesty screen: CLEAN / HIT-consistent (0 decisive drivers). No detectable lying in SELLAS's pre-cutoff marketing — orthogonal to whether the science works.

Fundamental view: rich-to-fair at \$9 on central estimates; a genuine two-sided binary, not a clean short.

Probability of REGAL success (OS win): ~30% (range 21–40%) — below the market-implied ~40%, driven by the WT1-vaccine base rate, partially offset by an unblinded futility-pass.

Options: no harvestable edge. IV ~184% (92–97th pctile) but the binary is efficiently priced and bid/ask is 20–56% wide. No trade recommended; if directional, defined-risk only.

1 · Snapshot

Catalyst	REGAL Ph3 OS readout (NCT04229979); event-driven final analysis at 80 deaths; 78/80 as of 2026-05-11, blinded; topline likely mid-2026 (vol hump Jul–Oct).
Asset	Galinpepimut-S (GPS) — 4-peptide heteroclitic WT1 immunotherapy; AML in 2nd complete remission (CR2) maintenance vs investigator's choice.
Price / cap	\$9.01 spot; ~\$1.69B fully-diluted market cap; ~186M diluted shares (up from ~64M; ~2.9x dilution).
Balance sheet	~\$107M cash, ~3yr runway; directors bought at \$1.48–1.80; no insider selling into the run.
Implied vol	~184% annualized, 92–97th percentile; realized (30d) ~118%; option flow 2.5:1 call-heavy.

2 · Honesty Screen (R/f(M))

Live forward run over 16 marketing 8-K EX-99 exhibits (2024-06 .. 2026-06). The Mar/May-2025 “positive interim” PRs are an IDMC *continue* (interim-leak acknowledged, allow_leak=True); the binary OS readout is unread.

Result	CLEAN / HIT-consistent — gate CLEAN, 0 load-bearing findings, 0 CONFIRMED, 0 drivers.
Findings	120 total: 22 AFFIRMED / 90 UNVERIFIABLE / 8 REFUTED. All 8 refutes minor: 2 timeline friction, 6 naive cross-trial benchmark (4 about SLS009, a different program).
Read	No company-level misconduct. Registry shows disclosed completion slippage consistent with event accrual. The “13.5 vs 6 month” framing fired the naive-benchmark detector (correctly minor promotional color).

3 · Science & Base Rate (the dominant risk)

CLEAN honesty does **not** raise the scientific prior. GPS is a WT1 peptide cancer vaccine — the worst-converting modality class in oncology for Phase 3. The closest randomized precedents:

Precedent	Design	Result
OCV-501 (WT1, AML maint.)	Randomized, placebo-controlled Ph2 (n=133)	MISS — DFS 12.1 vs 8.4 mo, p=0.77; 5-yr DFS 36% vs 34%. Only +: retrospective immune-responder subgroup.

Precedent	Design	Result
DSP-7888 (WT1, GBM)	Randomized Ph3 (WIZARD 201G)	Terminated Dec-2021 for futility (OS).
GPS (WT1, AML)	Single-arm Ph2, n=22, immune endpoint	OS landmark vs historical control only; median DFS 16.9 mo, 68% relapse.

GPS vs OCV-501 differences (why prior is 15–30%, not ~5%): GPS is multivalent + heteroclitic, engages CD8 cytotoxic (not just CD4 helper), stronger adjuvant (Montanide+GM-CSF), CR2 setting. Real, but immunogenicity-engineering edges; OCV-501 proved a WT1 vaccine can show a responder-survival signal that vanishes against a control — a failure mode GPS's better construct does not neutralize.

4 · Probability of Success (Bayesian)

Component	Value	Rationale
Prior (WT1 base rate)	15–30%	Modality failure record; GPS construct lifts the floor.
Slow accrual / event-cut	LR $\approx$ 1.0 (neutral)	Blinded + pooled; fits BOTH control-overperformance (bear) and treatment-survival (bull). Stripped out.
Futility pass @ 60/80 events	LR $\approx$ 1.5 (1.3–1.9)	Genuine UNBLINDED look (IDMC saw split); but futility is a low bar, not an efficacy-boundary cross.
Posterior	~30% (21–40%)	Below market-implied ~40%. Calendar time does NOT compound the update.

5 · Trial Design & SAP Findings

- **Primary test = stratified Cox proportional-hazards** (FAS). Confirmed from the design paper (closest public SAP surrogate; full SAP not public for a blinded active trial).
- **Structurally underpowered for its stated HR.** 90% power at HR 0.636 needs ~205 deaths (Schoenfeld); with ≤ 140 patients (max ~140 deaths) that is unachievable. 80 deaths $\approx$ 53% power at HR 0.636; ~90% power only at HR $\approx$ 0.48. Trial needs an effect ~2x the best a WT1 vaccine has shown.
- **Event target cut 105→80** via blinded re-estimation (“patients living longer in pooled blinded data”). At fixed HR this LOWERS power — the “maintain power” rationale is unexplained without the sealed SAP.
- **Sponsor remained blinded** (“remains blinded to all efficacy and survival data... no outcomes analyses performed”). The arm split sits behind the IDMC firewall; no evidence of a breach.
- **“13.5 mo vs 6 mo” is a conflation, withdrawn:** 13.5 = POOLED (blinded) median; 6 = a historical benchmark, NOT the BAT control arm. IDMC reported futility-exceeded, not efficacy. Not arm-level evidence.

6 · Valuation

Two-state binary (Price = PoS·U + (1–PoS)·D). Market-implied: ~40% PoS, success U $\approx$ \$20, failure D $\approx$ \$1.50. But \$20 was back-solved from the market — not a fundamental.

rNPV of the success state (peak sales $\times$ 3x $\times$ 0.85 approval + cash, $\div$ 186M sh):

Scenario	Peak sales	Fundamental U / share
Base (CR2 only)	~\$175M	~\$3
Bull (CR1 label expansion)	~\$700M	~\$10
Blockbuster (multi-indication + platform)	~\$1.2B	~\$17
Market-implied (\$20/sh)	~\$1.5B required	blockbuster+

Key tension: the base CR2 indication's fundamental success value (~\$3) is BELOW today's \$9. The \$9 prices ~40% PoS AND a blockbuster commercial outcome — two bullish extremes. **Fundamental U (~\$3–10) $\neq$ day-after pop (could overshoot to \$15–25 on momentum, then fade).** The binary “works” for a trader who SELLS the pop; a holder

may watch it mean-revert toward rNPV.

7 · Options / Volatility

- IV term structure humped Jul–Oct (call IV ~264% Jul-10, ~248% Sep-18); front weeklies tamer (Jun-26 implies 37% move). Market prices the topline AFTER June.
- Straddle-implied move (Sep) ~96% ≈ fundamental two-state move ~91% — binary efficiently priced; no magnitude edge either way.
- Selling the up-tail is –EV at our PoS (success lands above sellable call strikes). Bid/ask 20–56% wide destroys multi-leg credit. **No options trade recommended.**
- If expressing the sub-market PoS view: a longer-dated, defined-risk put debit spread — conviction, not edge-harvesting (you still pay the wide spread).

8 · Bottom Line

Honest company, honest trial, low-base-rate mechanism. CLEAN ≠ buy. The framework's contribution here is EXCLUSION-grade confidence that a positive readout, if it comes, won't be a disclosure fabrication — not a bullish call on the biology.

At \$9 the stock is rich-to-fair on central estimates (PoS ~25–30%, fundamental U ~\$5–10, D ~\$1.50). It becomes a clear win only if you hold the bull on MULTIPLE soft inputs simultaneously (PoS ~30% + success cap ~\$27+ + higher failure floor).

Decisive unknown stays sealed: the unblinded control-vs-treatment death split. Live bull tail intact; this is a two-sided binary, sized small if traded at all.

Sources: CT.gov NCT04229979; REGAL design paper (PMC11760237 / Future Oncology 2025); OCV-501 (PubMed 34677647; PMC10123586); GPS Ph2 (PubMed 29386195); DSP-7888 (Sumitomo, 2021-12); SELLAS IR REGAL updates; CancerNetwork interim coverage; CBOE delayed options chain; IBKR account/quote data (read-only).

Disclaimer: Signal OS is a disclosure-honesty / microstructure research framework. A CLEAN verdict means no detectable lying, NOT a prediction the trial succeeds. This memo is research, not investment, legal, or tax advice. Figures include model estimates and back-solved anchors as labeled; verify before acting.